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SECRET

FROM FOREIGN OFFICE TO PEKING

Cypher/OTP.and By Bag

FOREIGN OFFICE AND
WHITEHALL SECRET (CABINET)
DISTRIBUTION

No. 1056

December 1, 1954. D: 8.54 p.m. December 1, 1954.

IMMEDIATE
SECRET

Addressed to Peking telegram No. 1056 of December 1,

Repeated for information to Moscow [Priority]
Washington No.4282
And Saving to U.K. Del. New York. No. 948

My telegram No. 994 [of November 8: Formosa and Quemoy].

A joint statement will be issued today by the Americans and the Chinese Nationalists that they have concluded negotiations for a Mutual Security Treaty. The treaty will recognise the common interest of the parties in the security of Formosa and the Pescadores and of the western Pacific islands under the jurisdiction of the United States, while providing for the inclusion by agreement of other territories under the jurisdiction of the parties. The statement will add that the treaty will be defensive in character. According to State Department the Treat will be signed shortly after the statement, and an accompanying exchange of Notes a few days afterwards.

2. For your own information we have been told that the key article of the treaty is Article 6 which lays down that for purposes of Article 2 (mutual aid to develop capacity to resist armed attack and subversion) and Article 5 (mutual aid against attack) in the treaty "the terms 'territory' and 'territories' shall mean in respect of the Republic of China, Taiwan and the Pescadores, and in respect of the United States, the island territories in the West Pacific under its jurisdiction. The provisions of Article 2 and 5 will be applicable to such other territories as may be determined by mutual agreement".

3. The exchange of notes sets out that the Republic of China effectively controls both the territory specified in Article 6 and other territories; and that the Republic of China possesses the inherent right of self-defence in respect of all areas now

/or hereafter

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or hereafter under its control. It adds that the use of force by either party in or from any of these areas affects the other and will be a matter of joint agreement, subject to action of an emergency character which is clearly an exercise of the inherent right of self-defence.

4. Documents have been so drafted as to safeguard the prestige of the Nationalists. But Mr. Dulles has stated that the Administration has no intention whatever of including the coastal islands in the treaty. It is also the American view that since "joint agreement" and not mere consultation is required before force is resorted to, this means that the Chinese Nationalists can be effectively prevented from using either the coastal islands or Formosa and the Pescadores as bases for attacking the mainland.

5. Cabinet have concluded that on balance it would be undesirable that ORACLE should go forward now and in existing circumstances. They were influenced by fact that original nature and purpose of the Security Council operation had inevitably been modified as a result of the United States Government's decision to negotiate a treaty with Chiang Kai-shek. They were even more influenced by new situation created by Chinese sentencing of United States airmen. If launched in these circumstances ORACLE might appear merely a further move in the cold war and might do more harm than good. These considerations have been put to Mr. Dulles, who is still inclined to go ahead but has agreed that no action shall be taken for the moment. The position will be reviewed again with Mr. Dulles at the beginning of next week in the light of reactions in the United States and elsewhere to the treaty with Chiang Kai-shek.

6. The line that we shall take when the joint statement is made is given in my telegram No. 47 Guidance.

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